Quarterly market commentary

Third quarter 2026 · Published October 9, 2026

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The quarter in brief

- World equities rose 9.3%, their best quarter in two years, as inflation eased and the market began to count on lower interest rates.
- Bonds gained 2.6% as yields fell across maturities; credit spreads ended close to where they began.
- Global Equity returned 7.8% gross, behind its benchmark: the quarter rewarded the largest, most expensive companies we hold least of.
- Global Listed Infrastructure returned 2.7%, ahead of its benchmark, as regulated networks and airports did well.

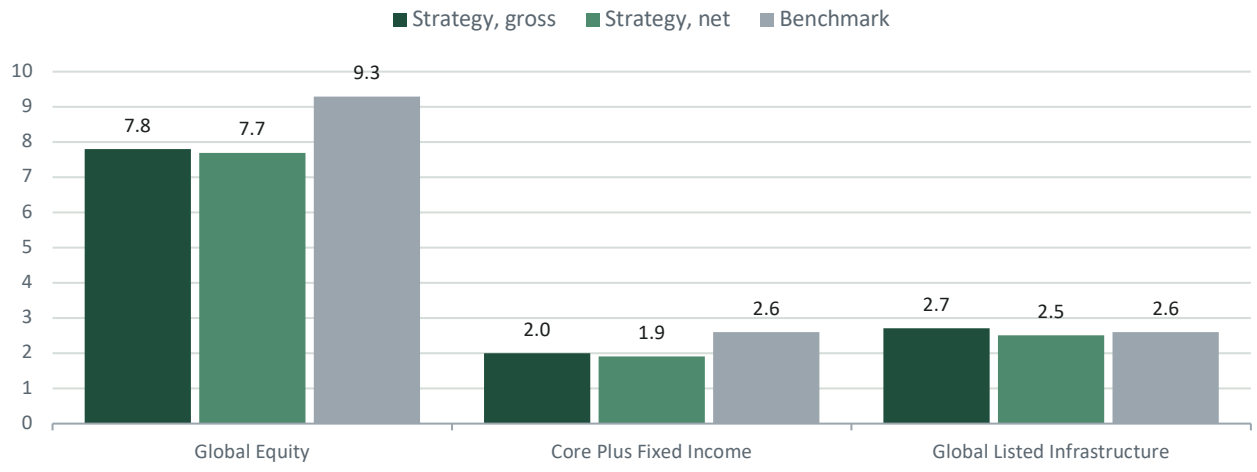
Equities: a narrow rally

The quarter began with doubt and ended with conviction. Inflation figures through July and August came in below expectations in most large economies, and by September markets were pricing two cuts in policy rates before the middle of next year. The Merrow World Equity Index gained 9.3%, taking its return this year to double digits.

Leadership was narrow. The largest companies in the index, already its most expensive, did most of the work, while smaller companies and those valued on their present earnings rather than their distant ones trailed. Energy companies rose with the oil price in August, then gave much of it back.

Global Equity returned 7.8% gross of fees, 1.5 points behind its benchmark. Two things cost us: holding less than the index in its largest technology companies, whose valuations we can't justify, and our underweight in energy during August. Our health care holdings helped, Orris Health Systems most of all after it raised its guidance for the year. This year to date, the strategy remains ahead of its benchmark.

Returns in the third quarter (%)



Three months to September 30, 2026. Benchmarks are the Merrow indices named in each strategy's fact sheet.

Bonds: duration paid

Yields fell by between a quarter and a half of a percentage point across maturities, and the Merrow US Aggregate Bond Index returned 2.6%. Investment-grade credit spreads widened in early August, on a run of weaker manufacturing data, then narrowed again; high yield ended the quarter a little wider.

Core Plus Fixed Income returned 2.0% gross, behind its benchmark. We hold fewer Treasuries than the index in favor of corporate and securitized bonds, which yield more but gained less as Treasuries rallied. We kept our duration close to the benchmark's: the market already expects the rate cuts we expect, so there is little to be paid for betting on them.

Infrastructure: steady hands

Global Listed Infrastructure returned 2.7% gross against 2.6% for its benchmark. Regulated electricity and gas networks rose as lower rates made their steady returns worth more, and airport operators reported traffic above last year's. Our underweight in midstream energy, where we see revenues too exposed to volumes, held us back in August and helped us in September.

Outlook

Markets now price a gentle landing: slower growth, inflation at target and lower rates. That may well come, but it leaves little room for disappointment, above all in the companies whose prices assume it. We see better value in high-quality businesses outside the largest ten, in Europe and Japan as well as the United States, and in shorter-dated credit, where yields remain well above inflation.

How we're positioned

Strategy	Q3, gross	Benchmark	Positioning
Global Equity	7.8	9.3	Overweight health care and industrials; underweight the largest technology companies and energy
Core Plus Fixed Income	2.0	2.6	Duration near the benchmark's; overweight securitized and investment-grade corporate bonds
Global Listed Infrastructure	2.7	2.6	Overweight regulated networks, toll roads and airports; underweight midstream energy

Important information

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Past performance does not guarantee future results. Returns are in US dollars. Gross returns are before management fees and after trading costs; net returns deduct the strategy's highest standard management fee, applied monthly. Returns for periods over one year are annualized.

The Merrow indices are fictional benchmarks, made up for this demonstration like the rest of the document.